AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2024

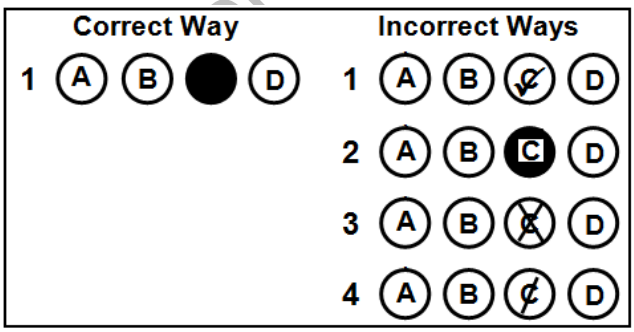
Banking Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. The document issued to invite the general public to buy shares of the commercial bank is termed as

   A. articles of association.
   B. certificate of incorporation.
   C. memorandum of association.
   D. prospectus of the private company.

2. Salta Bank provides exclusive perks, including discounts, reduced fees and interest rates to businesses opening employee accounts at their branches.

   The form of banking system reflected in the given description is

   A. corresponding banking.
   B. branch banking.
   C. group banking.
   D. unit banking.

3. Following are the features of a bank:

   - These banks are created by numerous banks to fund a project that involves huge amount of money.
   - It is created to leverage the assets of individual banks.

   The given description refers to

   A. agricultural bank.
   B. consortium bank.
   C. exchange bank.
   D. mortgage bank.

4. The Benazir Income Support Programme (BISP) is a Federal unconditional cash transfer poverty reduction program in Pakistan. The stipend distributed is linked to the Consumer Price Index and is paid through a smart card.

   The card used for the given scenario is classified as

   A. debit card.
   B. credit card.
   C. ATM card.
   D. loyalty card.

5. The bank that is formed through an ordinance in Pakistan is

   A. Habib Bank Ltd.
   B. United Bank Ltd.
   C. National Bank Ltd.
   D. Muslim Commercial Bank Ltd.

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6. Which of the following credentials does a bank require while opening a bank account for a salaried person?

	I	II	III
A	CNIC verification	letter of employment	proof of permanent address
B	reference letter	parents CNIC	CNIC verification
C	FBR verification	driving licence	salary slip
D	driving licence	FBR verification	employer verification

7. Asif has recently joined a new firm. The HR department has asked him to open a bank account in a bank that operates the organisation's account for the smooth transaction of salary and other benefits and allows unlimited transactions.

The MOST suitable type of bank account Asif can opt for in the given situation would be

A. saving account.
B. current account.
C. fixed deposit account.
D. foreign currency account.

8. All of the following services are considered as the primary functions of a commercial bank to customers EXCEPT

A. advancing loans.
B. receiving deposits.
C. collecting utility bills.
D. discounting bill of exchange.

9. Abrar received an offer from the bank to avail the facility of paying for the monthly college fee from his bank account. The bank will intimate Abrar about these payments.

The facility offered by the bank is typically known as

A. mortgage facility.
B. overdraft facility.
C. underwriter's facility.
D. standing orders facility.

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10. Al-Mehran Bank Ltd. has initiated a separate counter for collection of different general public consumer bills and vouchers through QR codes to facilitate the clients.

The service being provided by the bank is categorised as a/ an

A. utility service.
B. agency service.
C. consultancy service.
D. foreign exchange service.

11. Hub Bank Ltd. has leased a house loan to Afshan without marking any security against the apartment. The property will remain under Afshan's possession and she will pay quarterly the lease principal amount with interest on the accumulated amount.

In the given situation, the relation between the bank and Afshan would be

A. bailor and bailee.
B. pawner and pawnee.
C. proprietor and tenant.
D. mortgager and mortgage.

12. The bank account that does not give interest on amount held. Certain service charges are deducted from such an account.

With reference to the given description, the bank account will be classified as

A. current account.
B. fixed deposit account.
C. young (minor) saver account.
D. profit and loss saving account.

13. A bank that provides financial and banking services for its country's government and regulates the banking sector, as well as implement the government's monetary policy and issue currency is known as

A. central bank.
B. foreign bank.
C. chattered bank.
D. commercial bank.

14. A bank receives an initial deposit of Rs 50,000. Initially the cash reserve ratio was 10%.

If the cash reserve has been increased by 50%, then the 'increased amount of credit creation' would be

A. Rs 166,667
B. Rs 250,000
C. Rs 333,333
D. Rs 500,000

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15. It is a daily reference rate for the interest rate at which banks lend unsecured funds to other banks and the corporate sector. It is determined by the demand and supply of credits within the banks with a tenure of one week to 3 years.

With reference to the given information, this rate is generally called

A. KIBOR rate.
B. LIBOR rate.
C. interest rate.
D. corporate tax rate.

16. The 'clearing house' of the central bank facilitates commercial banks to settle their

A. inter-bank financial transfers and transactions.
B. inter-bank interest rates for advancing loans.
C. legal non-financial disputes and claims.
D. foreign remittances and funding.

17. A specific percentage or ratio of deposits that are maintained by all the commercial banks with the central bank is known as

A. cash reserves.
B. liquidity funds.
C. registration funds.
D. exchange reserves.

18. Under the fixed fiduciary system, the central bank of the country is permitted to issue banknotes of a given amount without giving gold and silver cover. The fixed quantity of notes allowed by law to be issued is to be backed by the government securities only.

The BIGGEST merit of this system is that

A. inflation can be checked and controlled.
B. currency value will not be diminished by any means.
C. government intervention is at the minimum level.
D. money market is adjusted through demand and supply.

19. All of the following are considered as the fundamental objectives of a monetary policy of the central bank EXCEPT

A. controlling inflation.
B. managing employment levels.
C. maintaining long-term interest rates.
D. collection of taxes and maintaining the reserves.

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20. Treasury bills (T-bills), negotiable debt instruments, are issued by the central bank on behalf of the government of the country and backed by its full faith and credit.

The given issuance of T-bills by the central bank is classified as its

A. primary function.
B. secondary function.
C. agency function.
D. non-financial function.

21. A specimen of a negotiable instrument is as under

Mr P
1/4 office, 14 street, DHA,
Karachi
March 22, 2017

Rs.10,000/=
Four months after date, I promise to pay Mr Q a sum of rupees ten thousand for the value received.

To
Mr R
921-1, Arena Colony, Korangi, Karachi

The parties to the given negotiable instrument are

	Drawer	**Drawee**	**Payee**
A	Mr P	Mr R	Mr Q
B	Mr Q	Mr P	Mr R
C	Mr R	Mr Q	Mr P
D	Mr Q	Mr R	Mr P

22. Saad issued a promissory note of Rs 150,000 to Zahid. Zahid endorsed the note to Tabish. On the date of maturity, the note dishonoured and noted by the notary public.

In the given situation, the ultimate responsibility to pay against the note is of

A. Saad.
B. Zahid.
C. Tabish.
D. Notary public.

23. If a bill of exchange (BoE) is paid by the drawer via bank transfer before the maturity, then this is termed as

A. maturity of bill of exchange.
B. retirement of bill of exchange.
C. acceptance of bill of exchange.
D. discounting of bill of exchange.

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24. To receive the amount written on the cheque, John must prove his identity to the bank.

The type of cheque referred in the given situation is

A. cross cheque.
B. blank cheque.
C. bearer cheque.
D. ordered cheque.

25. ABS bank issued a negotiable instrument to Saima upon her request. She is going abroad for vacations and will be availing it in place of cash on her trip. She can use it to pay her bills and exchange local currency during her stay.

The negotiable instrument issued to Saima is classified as

A. bearer cheque.
B. promissory note.
C. traveler's cheque.
D. sans recourse endorsement.

26. The parties to a letter of credit (L/C) are

	Parties to a L/C			
A	drawer	drawee	applicant	payee
B	payee	endorser	drawee	issuing bank
C	applicant	issuing bank	confirming bank	beneficiary
D	endorser	confirming bank	beneficiary	payee

27. Kareem signs his name on the back of the instrument without mentioning anything. This makes the instrument payable to the bearer.

The type of endorsement in the given scenario is classified as

A. restrictive endorsement.
B. conditional endorsement.
C. special or full endorsement.
D. blank or general endorsement.

28. The government of country Y has decided to fix the rate of their currency with the exchange rate of country X.

The type of exchange rate opted by country Y is termed as

A. exchange pegging.
B. exchange rationing.
C. standstill agreement.
D. exchange equalisation.

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29. In a country, the status of balance of payments is negative.

Based on the given situation, the factor that could bring positive impact on the country's economy in the long run is the increase in

A. exports.
B. foreign aid.
C. IMF assistance.
D. foreign debts (loan).

30. The tool that any government uses to keep the balance of payments (BoP) in equilibrium is the

A. excise rate.
B. interest rate.
C. exchange rate.
D. inter-bank rate.

31. The term, 'foreign remittance' is used for the money that is

A. charged against a payment of a foreign loan or debt.
B. surplus from trade between two countries.
C. charged by the state bank on a foreign transfer.
D. sent back by foreign nationals to their native countries.

32. The Pakistanis living abroad are one of the major financial sources of earning foreign exchange. The foreign exchange reflected in Pakistan's balance of payment is classified as

A. foreign aid.
B. foreign loan.
C. foreign remittance.
D. foreign direct investment.

33. There are 5C's of credit management in finance.

All of the following are the C's of credit management EXCEPT

A. capacity.
B. capital.
C. clarity.
D. collateral.

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34. Uzair is an entrepreneur who runs a certified bakery with international standards and insured resources. He is willing to extend his business by opening another branch in another town. For this purpose, he has premises for the shop but still requires finances for the equipment and setup.

He approached his bank for a long-term loan. In response to his request, the bank asked for a collateral security. The BEST collateral security he can offer to the bank will be the

A. certification of standard quality.
B. insurance policy of the business.
C. invoices of the business equipment.
D. property documents of the business.

35. Ayan purchases a house for Rs 45 million via bank loan in which he is currently living. He took a loan on 25% interest at monthly instalments for 10 years.

The given loan is identified as

A. hypothecation.
B. banker Lien.
C. mortgage.
D. pledge.

36. Arfa bought an automatic sewing plant for her factory through bank financing. Under the agreement with the bank, Arfa will have the possession of the plant and if she is unable to pay the amount within the due time-period, the bank will take the possession of the plant back.

The type of collateral security referred in the given scenario is

A. pledge.
B. mortgage.
C. hypothecation.
D. marketable security.

37. An entrepreneur wants to buy a new shop worth Rs 12,00,000 for extension of his business. His friend advised him to borrow money from the bank.

For the given purpose, the BEST finance he can opt for is a

A. bank loan.
B. credit note.
C. bank overdraft.
D. discounting of bill.

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38. Which of the following businesses exemplifies the Islamic finance principle of Mudaraba?

A. Afshan is a well-known maths teacher and she started her own learning centre for the underprivileged providing free of cost education.
B. Anusha has introduced a cosmetic line named after the renowned celebrity Hiba, and she compensates Hiba with loyalty payments.
C. Karim and Amin started a gaming zone as a joint venture by investing cash and equipment.
D. Obaid invested and Asim will contribute in the partnership with effort and time.

39. Two individuals entered into a partnership agreement. As per the agreement, both partners will invest the capital and provide their operational expertise to the business.

The type of financing in the given situation is termed as

A. *Musharka.*
B. *Murabaha.*
C. *Mudaraba.*
D. *Musawamah.*

40. Which of the following financial institution is considered as Pakistan's first asset management company?

A. NIT (National Investment Trust)
B. HBFC (House Building Finance)
C. ICP (Investment Corporation of Pakistan)
D. SECP (Stock Exchange Commission of Pakistan)

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